

Shareholder Letter

Q4 FY2024

Siemens Energy Investor Relations

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Dear shareholders,

on November 13, our CEO, Christian Bruch, and CFO, Maria Ferraro, presented Siemens Energy's Q4 and fiscal year (FY) 2024 results providing an update for all Business Areas and an updated medium-term outlook for Siemens Energy (SE) until 2028.

"In a pivotal fiscal year 2024, we achieved all our goals, driven by strong orders and project execution across all our businesses. Our focus remains on profitable growth, supported by highly favorable market conditions. The new mid-term targets until fiscal year 2028 reflect our leading role in the energy transition", said Christian Bruch.

During Q4, SE's markets continued to develop favorably. This was reflected in a strong order intake of €15.0bn growing by 42.3% on a comparable basis¹ which was mainly driven by large orders at Grid Technologies (GT) and Gas Services (GS). Our book-to-bill ratio (ratio of orders to revenue) was 1.54, leading to an order backlog of €123bn at year-end once more exceeding the previous high. Revenue of €9.7bn was up by 16.6% on a comparable basis¹ largely due to GT and Siemens Gamesa (SG), where the ongoing ramp-up drove strong revenue growth in the offshore business. SE's Profit before Special items was negative with €83m (Q4 FY23: negative €487m) due to the expected loss at SG. SE incurred a Net loss of €254m (Q4 FY23: Net loss €870m) in the quarter.

For the full fiscal year, SE achieved or exceeded the upgraded guidance for all key performance indicators. SG made clear progress in line with expectations. Driven by GT and GS, SE's orders exceeded the high level of the prior fiscal year by 0.9% on a comparable basis¹ and reached €50.2bn. Revenue of €34.5bn rose by 12.8% on a comparable basis¹ driven by growth in all segments. Profit before Special items increased to positive €345m (FY23: negative €2,776m) mainly driven by a sharp loss reduction at SG, but also due to sharp profit improvements at GT and Transformation of Industry. Profit came in at positive €2,383m (FY23: negative €2,960m). Net income was €1,335m (FY23: Net loss €4,588m) and corresponding Earnings per Share were positive at €1.37 (FY23: negative €5.47). Free cash flow pre tax increased sharply to



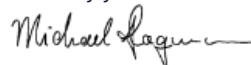
€1,859m (FY23: €784m) despite a higher negative cash flow at SG which was more than offset by increases in all other segments.

In FY25, we expect comparable revenue growth in a range of 8% to 10% and a Profit margin before Special items between 3% and 5% for SE. Furthermore, we expect a Net income around break-even² and Free cash flow pre tax up to €1bn. Due to the success in the recent fiscal year and the good prospects for the next and subsequent fiscal years – in terms of the market environment and our business plan – **we clearly upgraded the mid-term growth and profitability targets for FY28.** We now intend to achieve compound annual revenue growth on a comparable basis¹ in a high single-digit to low double-digit percentage range until FY28. For the Profit margin in fiscal year 2028, we strive to reach a range between 10% to 12%.

On the following pages we provide you with more details on the individual market drivers for our Business Areas and their targets for FY28.

Thank you very much for your interest in Siemens Energy. I wish you a happy and relaxing holiday season.

Sincerely yours



Michael Hagmann | Head of Investor Relations

Orders Q4 | FY2024

€15bn +42%¹ | €50.2bn (0.4)%¹

Revenue Q4 | FY2024

€9.7bn +17%¹ | €34.5bn +13%¹

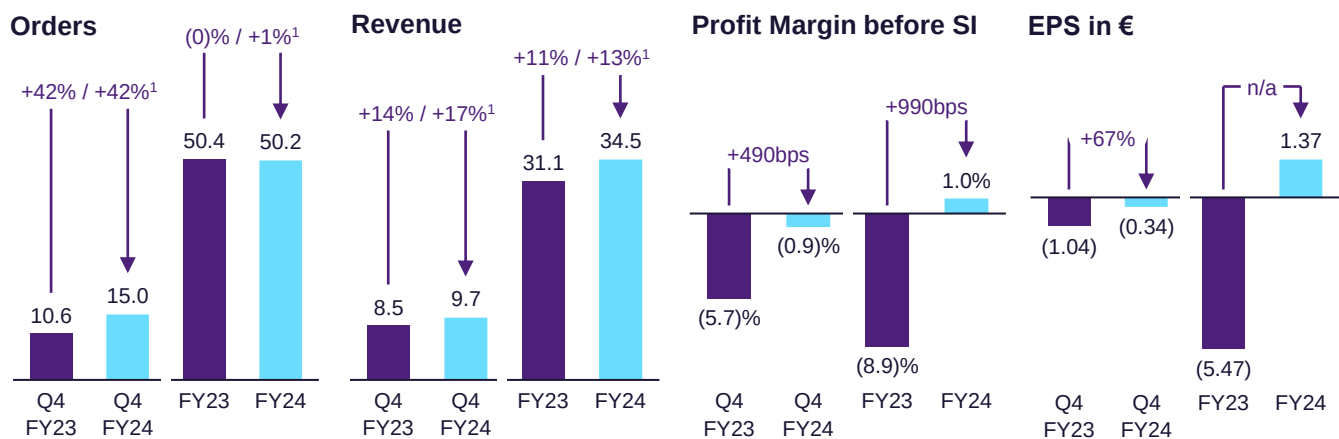
Profit before SI³ Q4 | FY2024

€(83)m +83% | €345m n/a

¹ Excluding currency translation and portfolio effects | ² Excluding assumed positive Special items subsequent to the demerger of the energy business from Siemens Limited, India | ³ Special Items

Siemens Energy in Q4 FY2024 and FY2024

(in €bn, except where otherwise stated)

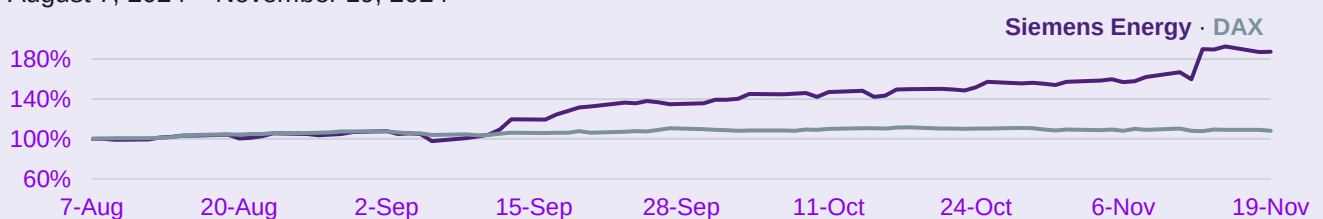


¹ xx% / xx% = nominal / comparable (excluding currency translation and portfolio effects)

Business Areas	Orders		Revenue		Profit Margin before SI	
	in million €	Change (comp.)	in million €	Change (comp.)	In percent	Margin change
Q4 FY2024						
Gas Services	3,557	+40.2%	2,742	+0.5%	5.2%	+70bps
Grid Technologies	5,395	+138.7%	2,704	+38.9%	10.2%	+240bps
Transformation of Industry	2,066	+28.2%	1,380	+13.9%	6.7%	+430bps
Sustainable Energy Systems	401	+159.4%	44	+96.5%	(77.8)%	+5,950bps
Electrification, Automation, Digitalization	299	(36.7)%	410	+18.0%	8.8%	+380bps
Industrial Steam Turbines & Generators	454	+25.6%	416	+6.4%	9.6%	+170bps
Compression	943	+47.8%	538	+17.3%	9.7%	+870bps
Siemens Gamesa	4,145	(2.8)%	3,082	+19.7%	(14.9)%	+1,070bps
FY2024						
Gas Services	16,365	+28.3%	10,796	+1.4%	9.5%	+0bps
Grid Technologies	20,901	+34.3%	9,280	+32.2%	10.5%	+290bps
Transformation of Industry	6,413	+17.8%	5,109	+16.3%	7.4%	+230bps
Sustainable Energy Systems	422	+47.4%	145	+77.0%	(64)%	+2,230bps
Electrification, Automation, Digitalization	1,303	(19.9)%	1,425	+23.4%	7.5%	+170bps
Industrial Steam Turbines & Generators	1,709	+6.4%	1,530	+7.7%	10.3%	+10bps
Compression	3,027	+49.5%	2,069	+17.1%	10.1%	+530bps
Siemens Gamesa	7,256	(56.7)%	10,008	+11.1%	(17.8)%	+3,000bps

Share performance

August 7, 2024 – November 19, 2024



Siemens Energy +87.4% · DAX +8.2% · GE Vernova +104.7% · Baker Hughes +25.2% · Hitachi +17.8% · MHI +35.8%

Contract extension for CEO Christian Bruch

At its regular meeting on September 25, the Supervisory Board of Siemens Energy AG extended the contract of CEO Christian Bruch for a further five years until April 2030. The original term of the contract was until April 2025.

Christian Bruch

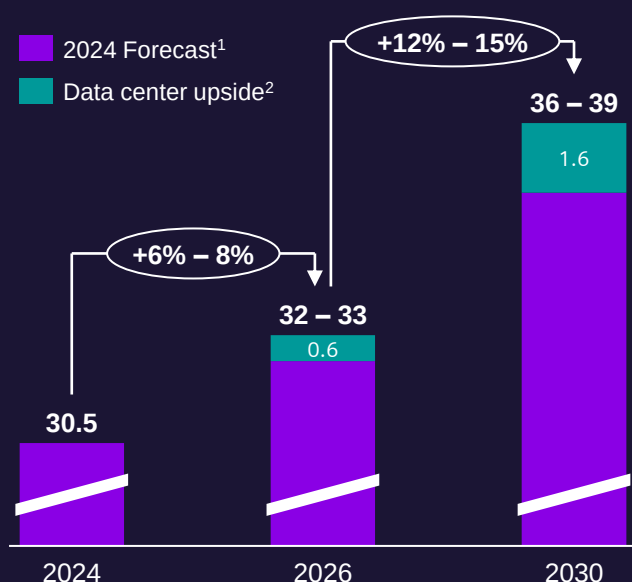


Christian Bruch, President and CEO of Siemens Energy AG:

"I would like to thank the Supervisory Board for the trust they have placed in me. It is a great honor for me to work for the Siemens Energy team as CEO. My goal remains to continuously increase the profitability and value of Siemens Energy. First and foremost, this means consistently implementing our priorities: profitable growth, restructuring the wind business, and further strengthening our balance sheet."

Strong electricity growth drives significant infrastructure investments

Global electricity demand in 1,000 TWh



Key market drivers

Electricity demand

- Increasing population and living standards
- Shift to electrification (CAGR³ 2024-2040: 2.7%)
- Upside from Data Centers up to 4% of global demand in 2030

Transformation of power generation system

- Due to increasing share of renewables even faster growth in installed capacity – doubling by 2040
- Coal to gas shift
- Nuclear renaissance

Grid infrastructure

- Integration of additional capacity and need for interconnection drives double digit growth
- Ageing infrastructure in advanced economies needs to be replaced
- Investment in digital solutions to use assets effectively

We are acting in a **very favorable market environment**. Population growth, a rising standard of living and electrification of transport as well as industrial processes will continue to drive **additional electricity consumption** at a rate of 2.5% to 3% per year. This means that every year electricity consumption will grow by the equivalent of the consumption of Japan, the world's fourth largest economy.

This, however, is only the base case. The **rapid rise of electricity demand for data centers** also driven by the use of artificial intelligence models is an additional upside. By 2030 it may lead to an additional increase in electricity consumption of 1,500 TWh. 1,500 TWh is roughly equivalent to three times the electricity consumption of Germany, the world's third largest economy. To cope with the base case growth scenario of electricity consumption, **global power generation capacity has to double by 2040** as renewables account for a bigger share of the installed base.

Considering that a large part of the existing coal and oil plants will be taken out of service, it becomes clear that **we are facing unprecedented demand to build new capacity**. The demand growth is now even a push to some **nuclear renaissance**, not only in the US, but also in the UK, France and Eastern Europe. All of this supports the **need for grid** investments which are reaching unprecedented levels.

The enormity of the task ahead of us can be captured by just two facts: grid connected renewable capacity will rise more than five times by 2050 and 50% of today's grid infrastructure in the advanced economies of Europe, the US and Japan will have to be replaced over the next 20 years. In addition, we need to digitize the grid to use the existing assets more efficiently.

¹ Source: S&P Global Commodity Insights, ©2024 by S&P Global Inc. Usage permitted for Siemens Energy Global GmbH & Co. KG for the Q4 FY24 Analyst Conference Call on November 13, 2024. Duplication and distribution outside the scope described is only permitted with the prior written consent of S&P Global Commodity Insights | ² Data Center demand: based on SE internal estimates | ³ Compound annual revenue growth rate (FY24-based)

Our path towards FY28 for GS and GT

Gas Services – growing in an attractive market

Market environment

Gas as cornerstone for the energy transition

Strong regional programs support gas market of ~70 GW per year

Decarbonization solutions for gas

Data centers provide upside

Nuclear renaissance

Our Focus

Competitive portfolio

- Sustain improved gross margins
- Technology leadership, cost-out and selectivity
- 30% capacity expansion for large gas turbines

Leading service performance

- New fleet additions and margin expansion
- Invest in modifications and upgrades as well as new service models

Enabling decarbonization

- 100% H₂ (and green fuels) roadmap
- CCUS¹ partnerships
- Support nuclear projects

Business Performance

€45bn of which ~80% Service Order backlog²

Guidance FY25

7% – 9%
Revenue growth³

10% – 12%
Profit margin before SI

Targets FY28

LSD / MSD
Revenue growth⁴

12% – 14%
Profit margin

1 Carbon Capture, Utilization and Storage | 2 As of September 30, 2024 | 3 Comparable revenue growth: Excluding currency translation and portfolio effects | 4 Compound annual revenue growth rate (FY24-based); LSD/MSD: low / mid-single digit

Grid Technologies – fastest growing business with attractive profitability

Market environment

Fast growing market with 12% CAGR

Connection of renewables to multiply

Ageing infrastructure requires replacement

Data centers provide upside

Digital grid solutions to keep grids stable

Excellent market position
#1 in solutions, #2 in products

Our Focus

Scaling up capacities

- two new factories go live in 2026, focus on effective use of capital
- Expansion investment of ~€1.1bn
- Transformer capacity to expand by 85 GVA¹
- +6.000 FTE ramp-up incl. partners, 50% of headcount additions in best cost countries

Safeguarding execution

- Industrialization of products and solutions
- Harmonizing factory management
- Leverage Digitalization

Transform the portfolio

- Focus on attractive markets and product
- Ramp up digital grid solutions
- Drive Blue portfolio

Business Performance

€33bn
Order backlog²

Guidance FY25

23% – 25%
Revenue growth³

10% – 12%
Profit margin before SI

Targets FY28

LDD
Revenue growth⁴

13% – 15%
Profit margin

1 Gigavolt-ampere | 2 As of September 30, 2024 | 3 Comparable revenue growth: Excluding currency translation and portfolio effects | 4 Compound annual revenue growth rate (FY24-based); LDD: low-double digit

Our path towards FY28 for TI and SG

Transformation of Industry – operational excellence and capturing new opportunities

Market environment

Acceleration of industry electrification

Growing service demand for our equipment

Data centers provide upside

Hydrogen as a long-term opportunity

#1 or #2 in all businesses

Our Focus

Accelerate performance improvement

- Turnaround of compression and steam business achieved
- Prioritize profitability through selectivity
- Push margin improvement with operational excellence

Maximize service growth

- +35% service revenue growth in last two years
- Huge ~85k installed base, up to 50-year unit lifetime
- Continue double digit service annual growth
- Capitalize on high transactional share ~70%

Develop portfolio

- Grow decarbonization offerings: electrification, hydrogen, decarbonized heat, CCUS¹, and SMR²
- Drive digital offerings

Business Performance

~€8bn of which 30% Service Order backlog³

Guidance FY25

11% – 13%

Revenue growth⁴

8% – 10%

Profit margin before SI

Targets FY28

HSD

Revenue growth⁵

10% – 12%

Profit margin

1 Carbon Capture, Utilization and Storage | 2 Small Modular Reactors | 3 As of September 30, 2024 | 4 Comparable revenue growth: Excluding currency translation and portfolio effects | 5 Compound annual revenue growth rate (FY24-based); HSD: high-single digit

Siemens Gamesa – stepwise turnaround, benefitting from continuous growth trend

Market environment

Market to reach 100 GW in FY30¹ thereof ~73% onshore and ~27% offshore

Industry becomes more mature

Supportive government targets

Stabilizing price levels

Strong market position #1 Offshore, #3 Onshore

Our Focus

Successful service business

- Maximizing return from installed fleet (>140 GW)
- Driving profitable aftermarket sales

Increase Offshore profitability

- Successful production ramp-up
- Strict discipline on contractual T&Cs

Turnaround Onshore

- Re-introduction of the 4.X and 5.X platforms
- Reduction of Non-conformance costs

Operational Excellence

- Streamlining organization, portfolio and manufacturing footprint
- Harvest synergies with SE group
- Exit unattractive markets

Business Performance

€38bn of which 50% Service Order backlog²

Guidance FY25

(9)% – (5)%

Revenue growth³

~€(1.3)bn

Profit before SI

Targets FY28

LSD / MSD

Revenue growth⁴

3% – 5%

Profit margin

1 Source: Wood Mackenzie global wind power market outlook update Q3 2024 | 2 As of September 30, 2024 | 3 Comparable revenue growth: Excluding currency translation and portfolio effects | 4 Compound annual revenue growth rate (FY24-based); LSD/MSD: low / mid-single digit

Financial outlook FY25 and FY28 targets

	FY25 Outlook		FY28 Targets	
	Revenue growth ¹	Profit margin before SI ²	Revenue CAGR ³	Margin reported ²
Gas Services	7 – 9%	10 – 12%	LSD / MSD ⁴	12 – 14%
Grid Technologies	23 – 25%	10 – 12%	LDD ⁴	13 – 15%
Transformation of Industry	11 – 13%	8 – 10%	HSD ⁴	10 – 12%
Siemens Gamesa	(9) – (5)%	around neg. €1.3bn	LSD / MSD ⁴	3 – 5%
Siemens Energy	8 – 10%	3 – 5%	HSD / LDD⁴	10 – 12%
Net Income	around break-even ⁵			
Free Cash Flow pre tax⁶	up to €1bn			

This outlook excludes charges related to legal and regulatory matters.

1 Comparable revenue growth: Excluding currency translation and portfolio effects | **2** Profit margin in % of revenue with profit as earnings before financial result, income taxes, amortization expenses related to intangible assets acquired in business combinations, and goodwill impairments | **3** Compound annual revenue growth rate (FY24-based) | **4** LSD / MSD / HSD: low / mid / high-single digit; LDD / MDD / HDD: low- / mid- / high-double digit | **5** excluding assumed positive Special Items subsequent to the demerger of the energy business from Siemens Limited, India | **6** Free cash flow pre tax as operating cashflow and additions to intangible assets and PPE less Income taxes paid

Financial Calendar

Dec 12, 2024	Annual Report 2024
Feb 12, 2025	1 st quarter FY25
Feb 20, 2025	AGM
May 8, 2025	2 nd quarter FY25
Aug 6, 2025	3 rd quarter FY25

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